



ZESA HOLDINGS GROUP

ASSET UNDER CONSTRUCTION (WORK IN PROGRESS)

ACCOUNTING PROCEDURES MANUAL



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1.0. INTRODUCTION

- 1.1 . The purpose of the Asset Under Construction manual is to detail policies and Procedures that shall be followed by ZESA Holdings and its subsidiary companies. The outlined policies shall act as a guideline and minimum requirement. Permission to deviate from the set policies and procedures should be granted by the appropriate authorities as defined in other policy or regulatory procedure manuals in conformity with IAS (International Accounting Standards), GAAP (Generally Accepted Accounting Principles), IFRS (International Financial Reporting Standards and that Assets Under Construction are managed with responsible stewardship. It is therefore necessary that these procedures be availed to members of staff whose duties entail asset under construction accounting. ***Assets under Construction for the purpose of selling, own use or to be used in production processes (governed by IAS 11- Construction Contracts) are covered by Non- Current Assets procedures manuals.***

2.0. OBJECTIVES

- 2.1 . To define the scope of AUC (Asset Under Construction) accounting system.
2.2 . To determine the costs of capital/fixed assets and ensuring that the costs are Properly accounted for in the accounting system.

3.0 ACCOUNTING PRINCIPLES AND POLICIES

- 3.1. The goods and/or services produced, in-house, can be capitalized into asset(s). But, there

are two distinct phases during this process:

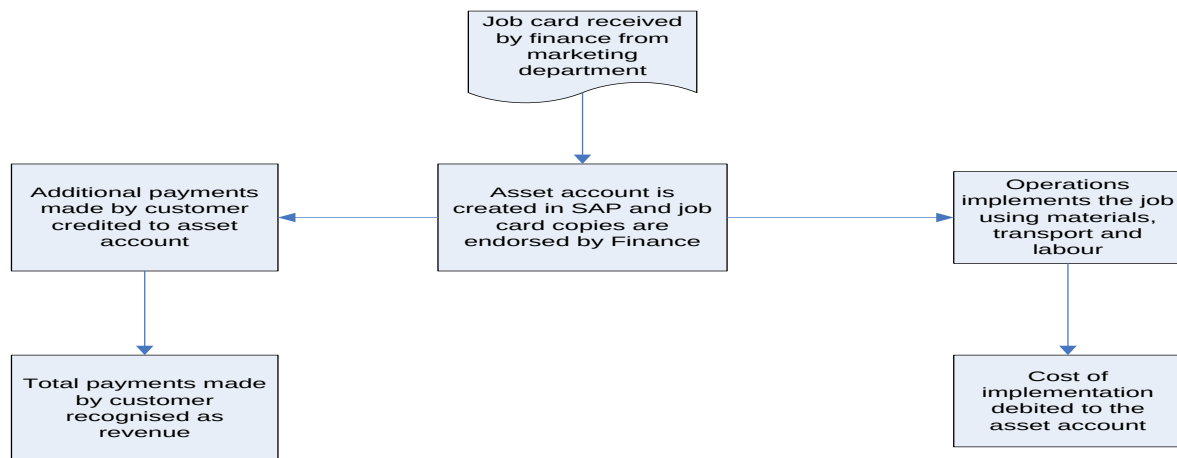
- Construction phase (AuC)
- Utilization phase (useful or economic life phase)

It then becomes necessary to show the assets under these two phases in two different balance sheet items: The 'construction phase' is one in which you start producing or assembling the asset but it is not yet ready for economic utilization. SAP categorizes these kinds of assets into a special assets class called '**Assets under Construction**' (AuC).

The AuC is managed through a separate asset class with a separate asset GL account. SAP allows posting 'down payments' to AuC. It is also possible to enter credit memos for AuC even after its complete capitalization, provided you are managing this asset class and allowing negative **APC (Acquisition and Production Costs)**. The **IM (Investment Management)** module helps to manage internal orders/projects for AuC. It is necessary to use the depreciation key '0000' to ensure that you are not calculating any depreciation for AuC. But you can continue to have special tax depreciation and investment support even on these assets.

3.2 Under IAS 2, IAS 16

3.3 Asset Under Construction Process



4.0 KEY INTERNAL CONTROLS

- 4.1 . Approved budget/PSIP (Public Sector Investment Programme)
- 4.2 . Approved ACE (Application for Capital Expenditure)
- 4.3 . Approved STF (Stores Transaction Form)
- 4.4 . Time Sheets
- 4.5. Vehicle Log sheets

5.0 KEY FEATURURES OF ASSET UNDER CONSTRUCTION

- Create Asset Master Record tc]AS01[tc]/tc]
- Acquisition from Purchase with Vendor [tc]F-90
- Asset Under Construction (AuC) Distribute AIAB
- Asset Under Construction (AuC) Settle AIBU
- Depreciation Calculation AFAB
- Asset Retirement with Customer F-92

6.0 MASTER DATA CREATION

The following information is required in creation of jobs/assets to be constructed.

- Approved ACE detailing the following;
 - Name of the job/description
 - Budgeted costs
- Approved BOQ (Bills of Quantity)

7.0 KEY DOCUMENTS

The following are key documents;

- ACE (Application for Capital Expenditure)
- BOQ (Bills of Quantity)
- STF (Stores Transaction Form)
- Vehicle Log Book
- Time Sheet
- Vote Completion Certificate

8.0 TRANSACTION PROCESSES

8.1 Determination of Direct Labour Costs

Labour charges are calculated based on the time spent on a job and labour rate for a particular worker. Time sheets and job cards are the source documents for determining labour charge for a particular job.

It is important to note that any employee's labour rate is similar to that outlined on his contract of employment form at all time. This is because the labour rate calculations are done by the Costing Division with the assistance of the Salaries Division, which provides the employee's grade as it is the custodians of the employment contracts.

8.2 Time sheets

These are records filled in by the worker showing how much time was spent on a job. This constitutes direct labour charge for a job.

Every employee who fills in a Time Sheet has to sign on the bottom of the form. The form is then forwarded to the employees supervisor who verifies that the jobs which the employee undertook at his instruction are accurately recorded. The Supervisor then signs to confirm and approve the jobs.

8.3 Typical time sheet

A timesheet shows name of person, department, grade, jobs attended to in a particular period (completed and non-completed), estimated time of completion and actual time spend on that particular job. Table 1 shows a typical example of a complete time sheet. See also appendix 1)

Table 1

Name: Max Chinyoka Department: Tanking
 Week ending 26/08/2005

Date	Start Time	Finish Time	Process Description	Job No/AUC No	Estimate Time	Actual Time
17/10/05	0800	1630	Preparation for spray painting	T3972	8.0	8.5
18/10/05	0800	1630	Untanking transformer	T4045	7.0	6.5
19/10/05	0830	1700	Transformer cleaning and preparation	T5050	8.5	8.5
20/10/05	0080	1700	Filing transformer oil	T4144	2.0	2.0

8.4 Job Cards

Unlike time sheets that relate to individual employees and may contain bookings relating to numerous jobs, a job card relates to a single job or batch and in most cases contains entries relating to numerous employees. For example, in the Test Bay an electrician, graded C4 may test a transformer assisted by another employee not skilled (graded A1). If they spend 2.5 hours on that job, the job card from that department will show in summary that:

8.5 Labour

C4 -2.5hours: A1-2.5 hours

On completion of the job, the job card should contain a full record of time and quantities of materials consumed in the job.

8.6 Vehicle Log Book

The Vehicle Log Book is filled in by employees who carry out transportation assignments directly linked to a Job and it is approved by the supervisor.

8.6 Job Costing Process

Table below shows calculation of total direct labour cost in a production set up.

Table 2

Worker	Grade	Job No/AUC No.	Normal Hours	Normal Rate	Overtime	Cost(ZWD)
Gwindi	B4	P1065	7.5	116,869.82	81,122.83	876,523.65
Gwindi	B4	P1065	8.0	116,869.82	81,122.83	934,958.56
Gwindi	B4	P1065	7.0	116,869.82	81,122.83	818,088.74
Gwindi	B4	P1065	7.0	116,869.82	81,122.83	818,088.74
Gwindi	B4	P1065	7.0	116,869.82	81,122.83	818,088.74
Gwindi	B4	P1061	5.0	116,869.82	81,122.83	584,349.10
Mukupe	B4	P1065	7.5	116,869.82	81,122.83	876,523.65
Mukupe	B4	P1065	8.0	116,869.82	81,122.83	934,958.56
Mukupe	B4	P1065	7.0	116,869.82	81,122.83	818,088.74
Mukupe	B4	P1065	5.0	116,869.82	81,122.83	584,349.10
Mukupe	B4	P1061	5.0	116,869.82	81,122.83	584,349.10
Total						8,648,366.68

The table above shows the names of all the workers who worked in certain jobs in a workshop in a particular week, their grade, the rates applied to each grade for

normal hours and when there is overtime and ultimately the total labour costs for the department. The labour rates used in the job costing are the ones which are on the contracts of employment. These are rates which are agreed between the company's management and workers union during the collective bargain.

8.7 Notes to the table

Note 1

Calculation of labour costs for a worker in grade B4 during normal working day of 8 hours.

=normal hrs* normal rate

=8*116 869.82

=934 958.56

Note 2

Overtime is classified as either normal or double.

Normal is where a worker works extra hours during a normal working day in a particular week. This is paid as time and half that is normal time plus half.

For example M a worker in grade B4 works 3hrs as overtime on Tuesday, he will be paid at the normal overtime rate thus;

= 3*1.5*81 122

= 365 052

Double Time Ma worker in grade B4 works for 3hrs on Saturday it will be

= 3*2*381 122.83

= 486736.98

Double overtime occurs when a worker works over the weekend. It is double in the sense that the rate is double or twofold the normal overtime eg.

After calculations are done shown in the preceding table, another table showing in summary the number of jobs worked during the period under review (21 October 2005) and their corresponding costs are prepared and the total labour costs figure arrived at for that particular department (Workshop) as shown by the table below.

Table 3

WORKSHOP SUMMARY 28-Oct-05		
Sum of COST		
JOB NUMBER	Total	
P1061	1,168,698.20	
P1065	7,479,668.48	
Grand Total	8,648,366.68	
5103020		8,648,366.68
Prepared By J. Tsvuura		
Checked By.....		

9.0 ACCOUNTING FOR JOB COSTS

9.1 Direct labour costs

From the above table, the job is debited with its costs and the credit side shows the total labour charged out to Workshop coded 5103020. The labour costs of the workers who worked on jobs P1061 and P1065 as in table 3 above are summed up to give the total labour costs for jobs in that department for that period.

The journal entries for the above Job numbers are as follows:

Table 4

JOURNAL

A/C DESC	ALLOCATION CODE	DR	CR
	P1061	1 168 698.20	
	5103020		1 168 698.20
	P1065	7 479 668.48	
	5103020		7 479 668.48
Total		8 648 366.68	8 648 366.68

In the ledger accounts, the transactions are recorded as follows: -

Debit job P1061 with direct labour costs and credit direct labour account with costs of P1061 as illustrated below: -

9.2 Accounting for costs of materials

When materials are drawn from stores for consumption in a job, a Stock Transaction Form is completed. This one shows the type of materials issued, quantities, specific job number and any relevant information for the issued materials. It is then attached on the job card for reference purposes.

The accounting entry is to debit the job with cost of materials issued to the particular job and Credit stock with the value of materials issued.

9.3 Accounting for production overheads

Production overheads are charged to production based on predetermined overhead absorption rates and in this organization, prime costs is used as the basis of absorbing costs. The absorption rate of production overheads is a predetermined percentage of prime costs of production of any job.

9.4 Accounting for finished goods for resale

When a job is completed, the costs of production are transferred from **work in progress** to **cost of sales**.

When the finished jobs are being sold, the works cost would be loaded with the appropriate amount of selling and administration overheads.

Any delivery costs can be charged to the job, the total costs established and then profit is calculated as illustrated below.

Sales a/c			
cost of sales	8,648,366.68	cash	11,675,295.02
mark-up	3,026,928.34		
	<u>11,675,295.02</u>		<u>11,675,295.02</u>

Illustrated below is how the selling price is calculated on jobs.

	US\$	US\$
Materials	1,877,217.60	
Labour	<u>91,866.97</u>	
Prime costs		1,969,084.57
Overheads (predetermined percentage of prime costs)		<u>590,725.37</u>
Total costs of production		2,559,809.94
Mark up predetermined percentage		<u>895,933.48</u>
Selling price		<u>3,455,743.42</u>

9.5 Accounting for finished capital jobs

9.5.1 Issuing of a Job Completion Certificate

When a job is commissioned a Job Completion Certificate (JCC) is issued to finance department for capitalisation. It is the responsibility of the Project/Station Manager to issue a Job Completion Certificate.

9.5.2 Nature of Costs to be accumulated

Some of the costs that are accumulated include:

Direct Materials (Raw Materials)
 Direct Labour
 Transport Costs
 Overheads (including loan borrowing Costs)

Upon receipt of the JCC a window period of at least one month must be given to allow accumulation of all costs associated with the commissioned capital job. With this authority the finance department will make a variance analysis as follows: -

9.5.3 Sample Variance Analysis

Job No. 130341

Resource	Actual	Budget	% Variance	Comment
Materials	252,145.00	295,000.00	15%	
Labour	43,036.25	73,750.00	42%	
Transport	35,214.50	29,500.00	-19%	
Prime Cost	330,395.75	398,250.00	17%	
Overheads	8,259.89	9,956.25	17%	
Total	338,655.64	408,206.25	17%	

Prepared By:Position.....

Approved By:Position.....

The tolerance variance is +/-10%. If any job exceeds the tolerance variance, there must be an explanation, giving reasons why there is such a variance. Overheads are calculated at the rate of predetermined percentage of the prime cost, if the prime cost exceeds \$50,000 and predetermined percentage if prime cost is below \$50,000.

After acceptable explanations on the variances, the costs are adjusted accordingly and the jobs are closed.

Accounting entries

DR Capitalised Job
CR Assets under Construction

10.0 Disclosure in Financial Statements

Work In Progress is disclosed as non- current asset.

ZIMBABWE ELECTRICITY SUPPLY AUTHORITY

TIME SHEET – ORDINARY

MONTH ENDED _____ 20____ UNDERTAKING _____

NAME _____ OCCUPATION _____

E.C. NO _____

FOR OFFICIAL USE ONLY
ALLOCATION

[illegible]

EMPLOYEE'S SIGNATURE: _____ DATE: _____

APPROVED BY: _____ DATE: _____